



WEIMAR DISASTER

From 1921–24, the Weimar Republic (now Germany) suffered catastrophic hyperinflation. After paying vast amounts of gold in war damages, the Weimar government began printing money on a huge scale to maintain public spending. As a result, the value of the currency (the mark) fell and prices escalated wildly. In 1923, inflation hit 30,000 percent per month, with prices doubling every other day.



BIG BANKNOTES

Hyperinflation means prices rise astronomically and governments struggle to keep pace by printing banknotes of ever larger values. In Weimar Germany in 1922, the highest value note was 50,000 marks; the next year it was 100 trillion. Low denomination notes were so worthless that it was cheaper to paper your rooms in banknotes than buy wallpaper!



THE VICTIMS

The hardest hit by hyperinflation are the less well-off. The rich survive by buying foreign currency, and in Weimar Germany, workers with unions were able to press for higher wages to keep up with prices. But the rest—such as farm and office workers—saw their wages lagging far behind soaring prices. For those living off savings and pensions, the plunge in what their money could buy was catastrophic.